



**Social Health
Authority**

ACCOUNTING POLICY PAPER PAA ELIGIBILITY

SOCIAL HEALTH AUTHORITY

22nd May 2026

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IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an insurer provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the insurer's financial position, financial performance and cash flows.

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OUR REF

Social Health Authority\IFRS 17 implementation Support\ Social Health Authority-Accounting Policy Paper-PAA Eligibility_(220526)

DOCUMENT PURPOSE

Submission to the Management of Social Health Authority

DOCUMENT OWNERSHIP

The owner of this document is Social Health Authority.

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ABBREVIATIONS & DEFINITIONS

NAME	DEFINITION
CSM	Contractual Service Margin
GMM	General Measurement Model
IFRS	International Financial Reporting Standard
KAFS	Kenbright Actuarial & Financial Services Limited
LRC	Liability for Remaining Coverage
PAA	Premium Allocation Approach
SHA	Social Health Authority
SHIF	Social Health Insurance Fund
The Standard	IFRS 17 Standard

1 INTRODUCTION

Background

- 1.1 The international Accounting Standards Board ('IASB') introduced IFRS 17 in May 2017 to supersede IFRS 4 which was an interim standard. IFRS 17 insurance contracts establishes the principles for the recognition, measurement, presentation, and disclosure of insurance contracts.
- 1.2 The objective of IFRS 17 is to ensure that the entity provides relevant information that faithfully represent contracts that fall within the scope of the Standard.
- 1.3 The Social Health Authority ('SHA') is a statutory agency established under Section 4 of the Social Health Insurance Act, which was enacted on 22nd November 2023 to succeed the National Hospital Insurance Fund (NHIF) as Kenya's primary health coverage provider. NHIF ceased its operations on **30th June 2024**, with its final admissions date being 30th September 2024. The transition period, spanning from November 2023 to mid-2024, involved the legal transfer of assets, liabilities and functions. SHA officially commenced its operations on **1st October 2024**.
- 1.4 SHA is mandated to pool contributions from individuals, employers, and the government in order to purchase healthcare services from empaneled and contracted healthcare providers and pay for the provision of quality healthcare services to members and their beneficiaries.
- 1.5 SHA manages three funds:
 - a) Primary Healthcare Fund;
 - b) Social Health Insurance Fund (SHIF);
 - c) Emergency, Chronic, and Critical Illness Fund (ECCF); and
 - d) Public Officers Medical Scheme Fund (POMSF).

Purpose

- 1.6 Under IFRS 17, the Premium Allocation Approach ('PAA') offers a simplified method for measuring these insurance contracts.
- 1.7 The measurement model is intended for contracts with a coverage period of one year or less, or for longer duration contracts where applying the PAA would result in measurements not materially different from those produced using the General Measurement Model (GMM)
- 1.8 The standard states under paragraph 53 that:

An entity may simplify the measurement of a group of insurance contracts using the premium allocation approach if, and only if, at the inception of the group:

- a) the entity reasonably expects that such simplification would produce a measurement of the liability for remaining coverage that would not differ materially from the one that would be produced; or
- b) the coverage period of each contract in the group (including coverage arising from all premiums within the contract boundary determined at that date) is one year or less.

Objective

- 1.9 The objective of this policy is to assess the eligibility of SHA's three health funds for the PAA under IFRS 17, and to recommend a consistent policy framework that promotes efficiency and simplification in the measurement of insurance liabilities.

Scope

- 1.10 This policy paper applies to all insurance contracts issued by SHA, ensuring uniformity in the application of the PAA.

2 ELIGIBILITY CRITERIA FOR PREMIUM ALLOCATION APPROACH

- 2.1 Under IFRS 17, insurance contracts qualify for PAA based on specific criteria that simplify the measurement of the Liability for Remaining Coverage (LRC).
- 2.2 The PAA simplifies the measurement of the Liability for Remaining Coverage and offers an operationally efficient alternative to the more complex General Measurement Model (GMM).
- 2.3 The Premium Allocation Approach (PAA) is a simpler and less costly approach to apply for short term insurance contracts.

Coverage Duration

- 2.4 SHA's contracts will automatically qualify for the PAA if the coverage period of each contract in the group is one year or less.
- 2.5 This criterion ensures simplicity in measuring the LRC by avoiding the complexities associated with longer-duration contracts.
 - a) **Short-Term Contracts:** All insurance contracts issued by SHA's meet the short-duration criterion, making them inherently eligible for the PAA.
 - b) **Operational Efficiency:** SHA will benefit from reduced data requirements and simplified calculations, making the PAA a practical choice for managing short-duration contracts.

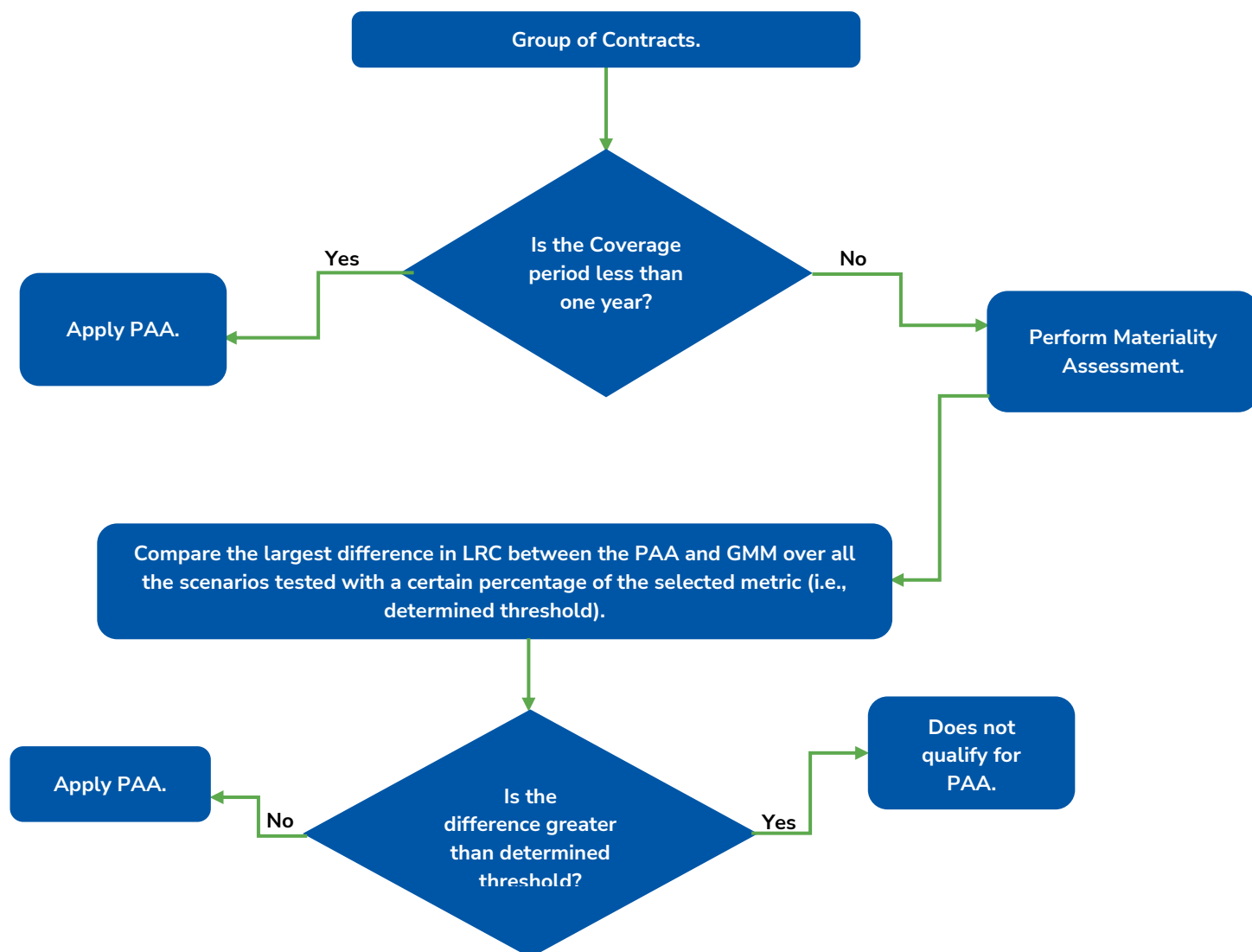
Materiality Assessment for Longer Duration Contracts

- 2.6 For insurance contracts with a coverage period exceeding one year, the PAA may still be applied if it is reasonably expected that the outcome of using the PAA does not materially differ using the GMM.
- 2.7 However, due to the short-term nature of insurance contracts issued by SHA, this materiality assessment will **NOT** be required.

3 ASSESSMENT OF CONTRACTS

- 3.1 This chapter details the assessment process for determining the eligibility of SHA's contracts under the PAA.
- 3.2 This includes a step-by-step guide and a decision tree to aid in the evaluation.
- 3.3 The assessment process involves several steps to determine if a group of insurance contracts qualifies for the PAA.
- 3.4 This process ensures that the measurement of the Liability for Remaining Coverage (LRC) using the PAA does not materially differ from the measurement using the General Measurement Model (GMM).
- 3.5 The steps involved are:
 - a) Identifying and grouping insurance contracts based on similar risks, coverage periods, and contractual features;
 - b) Checking if the coverage period for each contract within the group is one year or less. If all contracts meet this criterion, the group automatically qualifies for the PAA;
 - c) For groups with contracts exceeding one year in coverage, performing a materiality assessment to determine if the PAA measurement of LRC would not differ materially from the GMM;
 - d) Identifying a range of reasonably possible future scenarios that could impact the LRC; and
 - e) Establishing materiality thresholds to quantify acceptable differences between PAA and GMM measurements.

Assessment Process



3.6 Due to the short-term nature of insurance contracts issued by SHA, only PAA shall be applied.

4 REFERENCE

Refer to the IFRS 17 Standard available online at the address below

<https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on>

This policy has been adopted and signed by the Board of Management of the Social Health Authority on this _____ day of _____ 2025.

Chief Executive Officer: _____

Signature: _____

Appointed Actuary: Ezekiel Macharia

Signature: _____

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